

with the acquisitions of Netmeds and 1mg, respectively.

“The current scenario of PE firms and corporates investing in e-pharmacies is both exciting and uncertain. On the one hand, it shows a growing interest and confidence in the potential of e-pharmacies. On the other hand, there are still many challenges and uncertainties that could impact the future of these firms,” says Prashant Narang, Co-founder of Agility Ventures.

TWIN TROUBLES

While e-pharmacies have found currency among end-users and investors, regulators and brick-and-mortar stores are not so enamoured by these disruptive start-ups. For the past few years, the government has kept a keen eye on the segment with a view to regulate it. On top of that is the opposition from groupings of physical pharmacy stores. “Although final regulations on this sector have not yet been determined, we anticipate that the government might increase regulations to curb the misuse of such platforms,” says Singh.

For background, the government released a draft of the ‘Drugs and Cosmetics Amendment Rules, 2018,’ that proposed regulations for e-pharmacies, requiring them to obtain a licence from the Central Drugs Standard Control Organisation (CDSCO), comply with certain guidelines related to drug safety, quality, and authenticity, and maintain records of all transactions, in August 2018. Then in September 2018, the central government under the direction of the Delhi High Court issued a notification banning the online sales of medicines until a proper regulatory framework was

put in place. This was revoked in December 2018 after a challenge by the e-pharmacy players. Further, in September 2019, the government released the final draft of the ‘Drugs and Cosmetics Amendment Rules, 2018,’ but the Madras High Court imposed an interim ban in December 2019 until the government notified the regulations. This ban was stayed in January 2020 by a larger bench of the court. The government finally released a set of guidelines for e-pharmacies in October 2021. But they do not carry the force of law as yet. “There are some misconceptions about the [e-pharmacy] model, where people feel that there are fake drugs or spurious medicines or drug abuse happening through the system,” says Dharmil Sheth, Co-founder of API Holdings.

In February, the CDSCO had served show-cause notices to 20 e-pharmacy players across India, asking them to explain why action should not be taken against them for selling and distributing drugs in contravention of the relevant laws. In May, the Delhi High Court granted six weeks to the centre to inform it about the outcome of consultations and deliberations with stakeholders on the draft rules. The medicines being sold by e-pharmacies, Sheth explains, are “governed by the state food and drugs authority, because the sale, in the end, happens through any of the offline stores. So there is no gap as such. It’s just that there are misconceptions that need to be addressed.”

But the government stated that a licence is required from the concerned state authority for the sale, stocking, exhibition and offer for sale of any drug. “One of the main concerns is the regulatory environment. E-phar-

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SEPTEMBER 2019

The government releases the final version of the ‘Drugs and Cosmetics Amendment Rules, 2018’

OCTOBER 2021

The government finally notifies the guidelines for e-pharmacies

DECEMBER 2019

Madras High Court imposes an interim ban until regulations are notified. A larger bench stays the ban in January 2020, and e-pharmacies are allowed to resume operations